

PROJECT EVERGREEN

Leveraged Buyout Analysis

European Software & Services Sector

Target Screening · Capital Structure · Returns Analysis

What this presentation covers

01

Recommendation

The target we recommend, and why

02

Executive Summary

Approach and methodology at a glance

03

Company Screening

From 25 precedents to 4 shortlisted targets

04

Shortlisted Targets

Four European software companies, side by side

05

Capital Structure Comparison

How deal size and leverage differ by target

06

Deal Assumptions

Structure applied uniformly across all four

07

5-Year Projection

Leverage de-risking over the hold period

08

Returns Analysis

IRR and MOIC by target

09

Risks & Next Steps

What to watch, and how we'd proceed

RECOMMENDATION

Acquire Mensch und Maschine Software SE

XTRA:MUM · Germany · Software & Services · Entry Multiple 10.22x

22.6%

5-YEAR IRR

2.77x

MOIC

6.13x

ENTRY LEVERAGE

2.32x

MIN. INTEREST COVERAGE

WHY M&M SOFTWARE

- Highest 5-year IRR (22.6%) and MOIC (2.77x) of all four screened targets
- Lowest entry leverage (6.13x) among the two top-performing candidates
- Strongest margin profile (25.0%) of the shortlist, supporting resilient debt service
- Interest coverage stays above 2.0x in every projected year of the hold period

The following pages walk through the benchmarking, screening, structuring and returns analysis behind this recommendation — risks are addressed on the closing page.

TARGET SNAPSHOT

Country	Germany
Revenue (LTM)	\$283.9M
EBITDA (LTM)	\$70.9M
EBITDA Margin	25.0%
Entry Multiple	10.22x
Enterprise Value	\$725.4M
Sponsor Equity	\$290.1M

How we arrived at this recommendation

25

M&A DEALS BENCHMARKED

8

EUROPEAN COMPANIES SCREENED

4

TARGETS FULLY MODELED

5 yrs

MODELED HOLD PERIOD

Approach

Global M&A benchmarking across 25 completed Software & Services transactions (2021–2026) established a fair-value entry range. Eight European public software companies were screened against this range, and the four best-fitting names were modeled as standalone LBOs using one consistent capital structure, debt pricing, and 5-year hold — so results are comparable purely on company fundamentals, not modeling choices.

METHODOLOGY SNAPSHOT

- Entry Multiple = (Mkt Cap + Debt – Cash) / EBITDA
- Capital structure: 40% equity / 60% debt
- Senior 71% @ 6.30% · Sub 29% @ 8.85%
- 75% FCF sweep to Senior debt payoff
- Country-specific tax rates applied
- 5-year hold, exit at entry multiple

From 25 precedents to 4 shortlisted targets

25 Global Software M&A Deals

Benchmark set — established fair-value entry range

8 European Public Software Companies

Screened on revenue, EBITDA and margin bands from benchmark

4 Shortlisted Targets

Entry multiple confirmed inside benchmark range
(6.76x–13.55x)

SCREENING CRITERIA

- Industry: Software & Services
- Geography: Europe
- Status: Operating, public company
- Revenue (LTM): \$88–555M
- EBITDA (LTM): \$29–94M
- EBITDA margin: 13–28%
- Entry multiple: within 6.76x–13.55x

Four European software companies, side by side

Company	Country	Revenue LTM (\$M)	EBITDA LTM (\$M)	EBITDA Margin	Entry Multiple
F-Secure Oyj	Finland	169.0	46.0	27.2%	12.27x
GB Group plc	United Kingdom	376.4	61.5	16.3%	9.52x
Linedata Services S.A.	France	189.0	30.7	16.2%	11.69x
★ Mensch und Maschine Software SE	Germany	283.9	70.9	25.0%	10.22x

★ Highest projected IRR / MOIC in this analysis (see Step 6)

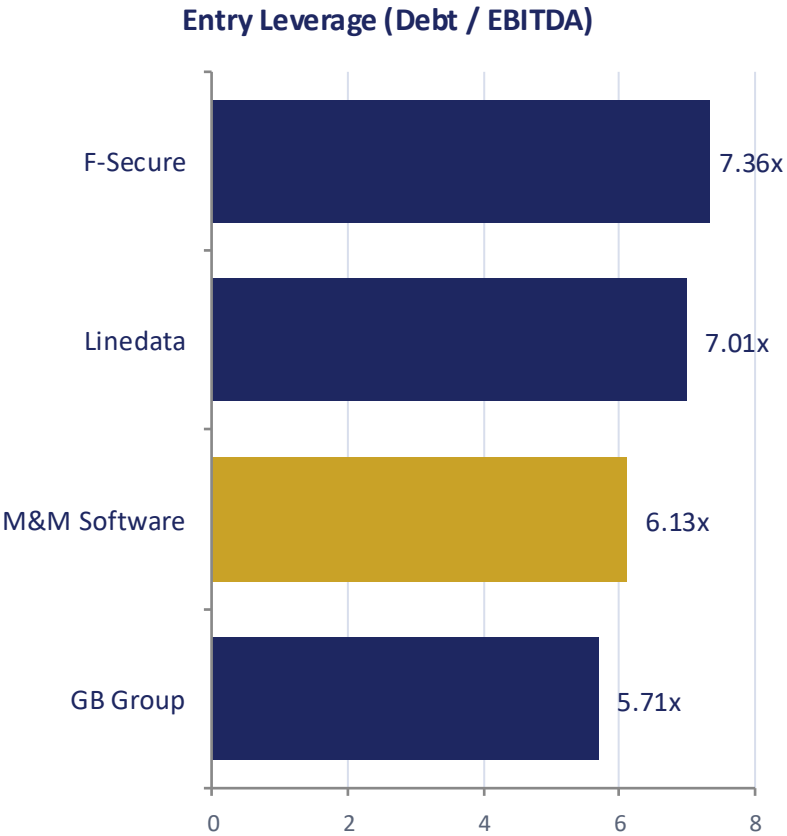
Entry Multiple = (Market Capitalization + Total Debt – Cash & Equivalents) / EBITDA (LTM), consistent with the definition used across the 25-deal benchmark set.

How the deal sizes and leverage differ by target

Company	EV (\$M)	Equity (\$M)	Debt (\$M)	Entry Leverage	Min. Interest Coverage
F-Secure	564.0	225.6	338.4	7.36x	1.93x
GB Group	584.1	233.6	350.4	5.71x	2.49x
Linedata	357.9	143.2	214.8	7.01x	2.03x
★ M&M Software	725.4	290.1	435.2	6.13x	2.32x

Capital structure (40% equity / 60% debt split, Senior/Sub pricing) is held identical across all four — differences below come purely from each company's Entry Multiple and EBITDA.

Red-flagged coverage ratios below 2.0x fall under the typical mid-market lender minimum — see F-Secure.



Assumptions applied uniformly across all four targets

CAPITAL STRUCTURE TEMPLATE



- Sponsor Equity — 40% of Enterprise Value
- Senior Debt — 71% of debt, priced at 6.30% (EURIBOR + 300bps)
- Subordinated Debt — 29% of debt, priced at 8.85% (EURIBOR + 550bps)

Senior Debt amortizes via a 75% Free Cash Flow sweep each year; Sub Debt is bullet (constant to exit).

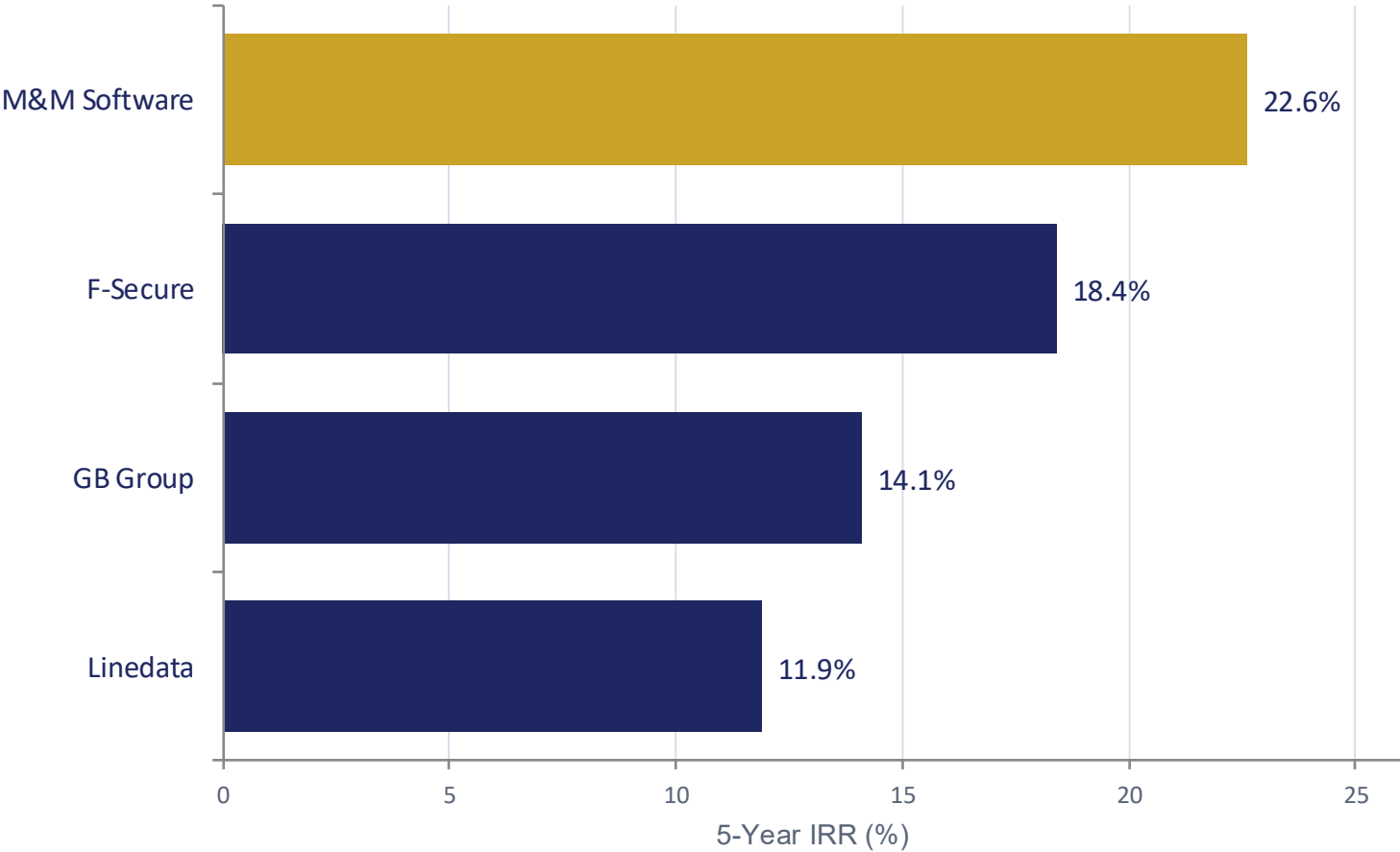
MODELING ASSUMPTIONS

Hold period	5 years
Exit multiple	= entry multiple (no expansion)
CapEx	2.0% of revenue p.a.
Working capital	Assumed neutral (0%)
D&A	Company-specific % of revenue
FCF sweep	75% to Senior Debt paydown

COUNTRY-SPECIFIC CORPORATE TAX RATES

20.0%	24.5%	27.5%	29.0%
Finland	United Kingdom	France	Germany

5-year IRR by target



MOIC BY TARGET

Linedata

1.76x

GB Group

1.93x

F-Secure

2.33x

M&M Software

2.77x

CLOSING

Risks & Considerations

KEY RISKS

- All four targets carry elevated entry leverage (5.7x–7.4x) versus typical mid-market covenant comfort levels
- Returns are sensitive to EBITDA margin compression — a 200bps margin decline would meaningfully reduce projected IRR
- F-Secure's interest coverage (1.93x) falls below the typical 2.0x lender minimum at entry
- Model assumes no multiple expansion and flat margins — a conservative but not guaranteed base case

RECOMMENDED NEXT STEPS

- Commercial and operational due diligence on M&M Software SE
- Engage lenders to confirm senior/sub syndication at modeled pricing
- Build downside sensitivity case (margin compression, exit multiple contraction)
- Structure maintenance covenants around interest coverage, monitored Years 1–2

Thank you

Project Evergreen — Leveraged Buyout Analysis, European Software & Services Sector